GIBSON CAPITAL

The Silver Tsunami

Why Your Current Retirement Plan is a "Non-Plan" for Long-Term Care

How the Pension Protection Act of 2006 created a tax-free legal loophole that revolutionized long-term care planning forever.

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What's Inside

Your comprehensive guide to modern long-term care planning.

> *"70% of couples age 65 and older will face a long-term care event. The question isn't if, it's when, and whether you'll be prepared."*

The Silver Tsunami
Is Already Here

America is experiencing an unprecedented demographic shift. The number of people living to age 100+ is projected to **quadruple by 2054**. We're living longer than ever, but our retirement plans haven't caught up.

70%	4×	$0
of couples 65+ will face an LTC event	projected increase in centenarians by 2054	most people have saved specifically for LTC

"Self-Funding" Is Not a Strategy

Let's be direct: "self-funding" your long-term care is just a polite way of saying *"spending your own money until it runs out."* It's not a plan, it's the **absence** of a plan.

When the average cost of a private nursing home room exceeds **$142,000 per year**, even a well-funded retirement can be devastated in just a few years. And with the average LTC need lasting 3+ years, you could be looking at nearly **$428,000** in total care costs.

> *"Fewer than one-third of Americans age 50 and over have begun saving for long-term care. The Silver Tsunami isn't coming, it's here. And most Americans are woefully unprepared."*
>
> — U.S. Department of Health and Human Services

Traditional LTC Insurance
It's Not What Most Think

For decades, the only option for long-term care coverage was traditional LTC insurance. On the surface, it sounds reasonable: pay premiums, get coverage. But the reality is far more frustrating.

"Use It or Lose It"

If you never need long-term care, every dollar you paid in premiums is gone. There's no cash value, no death benefit, no refund. Decades of payments, vanished.

Outrageously Expensive

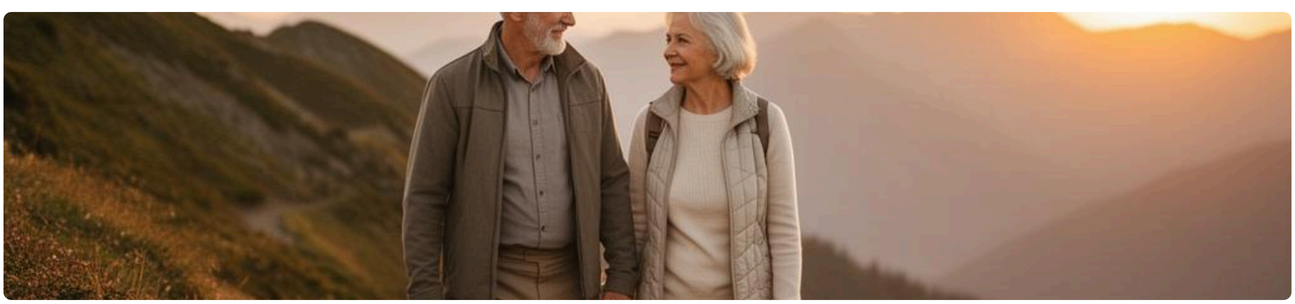
Premiums have skyrocketed, in many cases by 50-100%+, often with little warning. Carriers have left the market entirely, leaving policyholders scrambling.

No Flexibility

Once you start paying, you're locked in. Stop paying and you lose everything. It's a financial hostage situation with no good exit strategy.

Health Barriers

Traditional policies require extensive medical underwriting. By the time most people think about LTC planning, they may already be uninsurable.



There has to be a more flexible alternative, and there is.

The Pension Protection Act: The Tax Free LTC Loophole

In 2006, Congress passed the **Pension Protection Act (PPA)**, and its long-term care provisions took effect on January 1, 2010. This landmark legislation fundamentally changed how Americans can fund and protect against long-term care costs.

What the PPA Made Possible

1. **Tax-Free LTC Benefits from Annuities & Life Insurance**
   Before the PPA, gains inside annuities were taxable, even when used for care. Now, qualified LTC withdrawals from linked-benefit products are typically federal income tax-free.

2. **2× or 3× Multiplier on Your Money**
   A single deposit can create two or three times the coverage for qualified LTC expenses. $100,000 becomes $200,000 or $300,000 in LTC protection, on day one.

3. **Your Money Stays Your Money**
   Unlike traditional LTC insurance, if you never need care, your contract value passes to your beneficiaries as a death benefit. Nothing is wasted.

4. **Liquidity Provisions**
   Your principal remains partially accessible even for non LTC related expenses. You can access up to 10% of your account value each year.

5. **Simplified Underwriting**
   No needle pricks, urine samples, or physical exams. Underwriting is simple. Just a few knockout questions and pulling up your prescription medications.

THE NEW EQUATION

$100,000 repositioned into a linked-benefit policy. Creates a $200,000–$300,000 tax-free LTC bucket.

+ 10% per year liquidity for non LTC withdrawals + death benefit remains as the account value

The "Hidden Nugget"
IRS Publication 502 & the Tax Advantage

Buried deep in the IRS tax code is one of the most powerful, and most overlooked, financial planning tools available to retirees. Most advisors don't know about it. Most CPAs have never mentioned it. But it could save you **tens of thousands of dollars** in taxes.

How It Works

1. **IRS Publication 502** states that medical expenses exceeding **7.5% of your AGI** are tax-deductible.
2. **Qualified long-term care services** are explicitly included as eligible medical expenses. This includes home care, assisted living, nursing facilities, and more.
3. When qualified LTC services are part of your medical expenses, and you itemize deductions, you can deduct medical expenses in excess of 7.5% of AGI. These deductions can significantly reduce the taxes you owe on those withdrawals specifically used for LTC.

Quick Example

If your AGI is $100,000 and your qualified LTC expenses are $75,000 — the amount exceeding 7.5% of AGI ($7,500) = **$67,500 in tax-free withdrawals** from your retirement accounts.

The IRS places **no maximum limit** on the amount you can deduct for qualified medical expenses. With the national average cost of a nursing home at approximately **$130,000 per year**, and the average duration of care being 3 years, we're talking about potential tax savings on nearly **$390,000** in expenses.

Source: IRS Publication 502 (2024). Consult your tax advisor for guidance specific to your situation. This information is educational and does not constitute tax advice.

Rick & Sherry: A Tale of Two Retirements

Rick (68) and Sherry (62) have worked hard their entire lives. They've raised four children and mapped out an exciting first decade of retirement. Their total assets: **$650,000**.

$500K
401(k), Stocks, Bonds & Savings

$150K
Cash

$0
Outstanding Debt

Then Life Happened

Fifteen years into retirement at age 83, Rick became unable to perform 2 out of 6 activities of daily living (ADLs) and requires home health care. Rick wants to avoid a nursing home, and with professional in-home support, Rick lives another 7 years at home until age 90.

The Financial Devastation

$824K spent on Rick's in-home health care over 7 years

$215K remaining of their *entire* retirement savings

But what if they had repositioned just $150,000 differently?

Could Rick & Sherry Have Done More?

If they had placed their $150,000 into a linked-benefit product, here's what changes:

ASSETS	ORIGINAL STRATEGY	STANDARD (2×)	PREMIER (3×)
Retirement Assets (grown at 5% over 15 yrs)	$1,039,000	$1,039,000	$1,039,000
Cash	$150,000	$0	$0
Linked Benefit (grown at 3% over 15 yrs)	$0	$234,000	$234,000
Additional LTC Coverage	$0	+$234,000	+$468,000
Total Available Assets	**$1,189,000**	**$1,507,000**	**$1,741,000**
Cost of Rick's Care	−$824,000	−$824,000	−$824,000
Assets Remaining for Sherry	**$215,000**	**$683,000**	**$917,000**

Same care. Same costs. Completely different outcome.

THE PREMIER DIFFERENCE

+$702K

more in Sherry's pocket by making one smart decision with $150,000 at retirement.

Without linked benefit: **$215,000**

With Premier (3×) coverage:

$917,000

Assumptions: $500K retirement assets grow at 5% annually for 15 years ($1,039,000). $150K linked-benefit grows at 3% annually for 15 years ($234,000). Home health care cost: $824,000 over 7 years. All figures are approximate and for illustrative purposes only. This is not financial advice.

The 6 Activities of Daily Living

To qualify for tax-free LTC benefits, an individual must be certified as **chronically ill**, meaning they cannot independently perform at least **2 of 6 Activities of Daily Living (ADLs)** for at least 90 days, or have a severe cognitive impairment.*

2 / 6 Failing just 2 out of 6 ADLs triggers your tax-free benefits

Bathing
Washing oneself by sponge bath, or in a tub or shower, including getting into or out of the tub or shower.

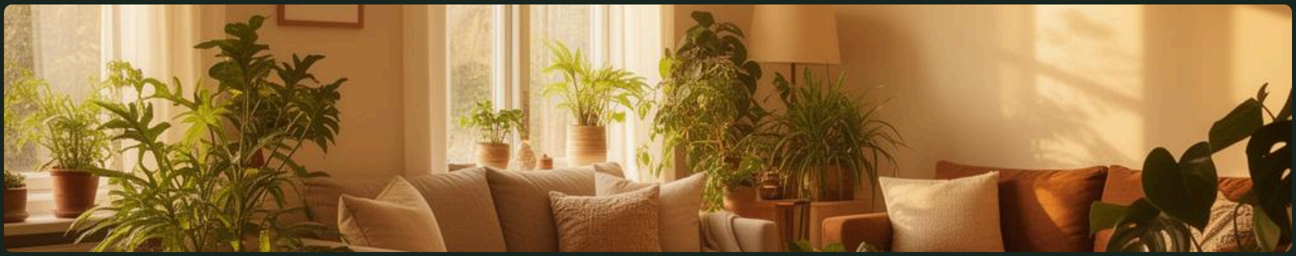
Continence
Maintaining control of bowel and bladder function, or caring for a catheter or colostomy bag.

Dressing
Putting on and taking off all items of clothing and any necessary braces, fasteners, or artificial limbs.

Eating
Feeding oneself by getting food into the body from a plate, cup, or table, or by feeding tube or IV.

Toileting
Getting to and from the toilet, getting on and off the toilet, and performing associated personal hygiene.

Transferring
Moving into or out of a bed, chair, or wheelchair without assistance.



*Benefit qualification: To qualify for benefits, receipt of proof is required from a licensed health care practitioner stating you are chronically ill and are incapable of performing, without substantial assistance, two Activities of Daily Living (ADLs) for at least 90 days, and/or you have a cognitive impairment that requires substantial supervision. Long-Term Care Services must be provided in conjunction with a written Plan of Care submitted by a Licensed Health Care Practitioner.

Covered care includes: Home Care, Home Health Aide, Homemaker Services, Chore Services, Nurse and Therapist, Personal Care, Respite Care, Adult Day Care, Assisted Living Facility, Bed Reservation, Nursing Home Facility, and Hospice Care.

What Long-Term Care Actually Costs

These numbers aren't projections, they're today's costs. And they're rising every year.

TYPE OF CARE	NATIONAL MEDIAN	STATE MEDIAN (CO)	DENVER (2026)
Home Healthcare	$5,673	$6,247	**$6,753**
Adult Day Care	$1,930	$2,025	**$2,503**
Assisted Living	$5,005	$4,893	**$5,700**
Memory Care	$5,723	$6,207	**$6,631**
Nursing Home	$10,824	$11,621	**$11,898**

The 3-Year Reality Check

When the average cost of a private nursing home room exceeds $142,000 per year, even a well-funded retirement can be devastated in just a few years. And with the average LTC need lasting 3+ years, you could be looking at more than $428,000 in total care costs.

$142,776
Average annual cost

3 yrs
Average duration

$428,328
Total projected cost

Common Misconception

Medicare does NOT cover long-term care. It may cover up to 100 days of skilled nursing care, but only after a 3-day hospital stay and with strict qualifiers. Medicaid requires you to spend down assets to roughly $2,000 before it kicks in. Neither is a plan.

Source: ltcnews.com/long-term-care/cost-of-care-calculator. Monthly costs shown.

Don't Wait Until You're Uninsurable

Every day you delay is a day closer to potentially being uninsurable. Health changes happen without warning, and once they do, your options narrow dramatically.

Get Your AI-Driven Long-Term Care Risk Snapshot

Powered by our AI software's predictive analytics, our LTC reports estimate your long-term care costs and coverage needs using a personalized model informed by over **500 million data points.**

See projected future costs, understand your risk profile, and determine how much protection you may need.

All in a complimentary, no-obligation consultation.

(Made with prediction-to-coverage AI, personalized with over 500 million data points)

Schedule Your Consultation:

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"The best time to plan for long-term care was 10 years ago. The second-best time is today."

GIBSON CAPITAL

Navigate Life's Financial Peaks

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